# COMMERCIAL LEASE AGREEMENT

(Office Space)

This Commercial Lease Agreement (the "Lease") is made as of March 15, 2024, by and between **Harborview Properties LLC**, a New York limited liability company ("Landlord"), and **Brightline Studio Inc.**, a Delaware corporation authorized to do business in New York ("Tenant").

## 1. Premises

Landlord leases to Tenant, and Tenant leases from Landlord, the premises known as Suite 410 (the "Premises") in the building located at 220 Hudson Street, New York, NY 10013 (the "Building"), consisting of approximately 2,150 rentable square feet on the fourth floor, together with the non-exclusive right to use the lobby, elevators, stairways and other common areas of the Building.

## 2. Definitions

"Additional Rent" means all sums payable by Tenant under this Lease other than Base Rent, including Tenant's share of real estate taxes and operating expenses. "Business Day" means any day other than a Saturday, Sunday or a day on which banks in New York City are authorized to close. "Common Areas" means those portions of the Building and the land on which it sits that are designated by Landlord from time to time for the general use of tenants. "Rules and Regulations" means the reasonable rules for the Building adopted by Landlord and delivered to Tenant in writing.

"Lease Year" means each period of twelve consecutive months during the Term, the first beginning on the Commencement Date. "Laws" means all federal, state and local statutes, ordinances, codes and regulations applicable to the Premises or the Building.

## 3. Use of Premises

Tenant shall use the Premises solely for general office and creative studio purposes and for no other purpose without Landlord's prior written consent. Tenant shall not use the Premises in any manner that violates Laws, creates a nuisance, increases the cost of Landlord's insurance, or interferes with other tenants' quiet enjoyment of the Building. Tenant shall comply with the Rules and Regulations.

Normal Building hours are 8:00 a.m. to 7:00 p.m. on Business Days. Tenant shall have access to the Premises twenty-four hours a day, every day of the year, subject to the Building's security procedures.

## 4. Term

The term of this Lease (the "Term") shall be thirty-six (36) months, commencing on April 1, 2024 (the "Commencement Date") and expiring at 11:59 p.m. on March 31, 2027 (the "Expiration Date"), unless sooner terminated or extended in accordance with this Lease.

If Landlord is unable to deliver possession of the Premises on the Commencement Date for any reason beyond its reasonable control, this Lease shall not be void or voidable, and rent shall abate until possession is delivered.

## 5. Base Rent

Tenant shall pay to Landlord base rent ("Base Rent") at the initial rate of Eight Thousand Five Hundred Dollars ($8,500.00) per month, payable in advance on the first day of each calendar month during the Term, without demand, deduction or setoff, by ACH transfer to the account designated by Landlord.

Commencing on the first anniversary of the Commencement Date and on each anniversary thereafter, Base Rent shall increase by three percent (3%) over the Base Rent payable during the immediately preceding Lease Year.

| Lease Year | Period | Monthly Base Rent |
|---|---|---|
| 1 | Apr 1, 2024 - Mar 31, 2025 | $8,500.00 |
| 2 | Apr 1, 2025 - Mar 31, 2026 | $8,755.00 |
| 3 | Apr 1, 2026 - Mar 31, 2027 | $9,017.65 |

## 6. Security Deposit and Late Charges

Upon execution of this Lease, Tenant shall deposit with Landlord the sum of $17,000.00 as security for the faithful performance of Tenant's obligations. Landlord may apply the deposit to cure any default and shall return the balance within sixty (60) days after the Expiration Date. Any installment of rent not received within five (5) days of its due date shall bear a late charge equal to five percent (5%) of the overdue amount.

## 7. Additional Rent

Tenant shall pay, as Additional Rent, its proportionate share (4.2%) of the amount by which real estate taxes and Building operating expenses for any calendar year exceed those for the base year 2024. Landlord shall provide a statement of such charges within one hundred twenty (120) days after the end of each calendar year.

## 8. Maintenance and Repairs

Tenant shall keep the interior of the Premises in good order and condition, ordinary wear and tear and casualty excepted, and shall promptly repair any damage caused by Tenant or its invitees. Landlord shall maintain the structure, roof, exterior walls and Building systems, and the Common Areas, in good repair. Tenant shall not make alterations costing more than $5,000 without Landlord's prior written consent.

## 9. Insurance

Tenant shall carry, at its expense, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, naming Landlord as an additional insured, together with property insurance covering Tenant's improvements and personal property. Tenant shall deliver a certificate of insurance to Landlord before the Commencement Date and upon each renewal of the policy.

Landlord and Tenant each waive all rights of recovery against the other for loss or damage covered by property insurance, to the extent of the proceeds received.

## 10. Utilities and Services

Landlord shall furnish heat, ventilation and air conditioning during normal Building hours, passenger elevator service, and water for lavatory purposes. Tenant shall pay directly for electricity consumed in the Premises, telephone and data services, and any after-hours HVAC usage at Landlord's then-standard rates.

## 11. Renewal; Termination at Expiration

Tenant may elect either to renew this Lease for one (1) additional term of thirty-six (36) months at a Base Rent equal to ninety-five percent (95%) of the then fair market rent, or to terminate this Lease effective on the Expiration Date. To exercise either election, Tenant must give Landlord written notice of its election at least ninety (90) days before the Expiration Date. Notice shall be delivered by certified mail or nationally recognized overnight courier to Landlord's address set forth in Section 16.

If Tenant fails to give timely notice under this Section, Tenant shall be deemed to have elected neither to renew nor to terminate, this Lease shall expire on the Expiration Date, and any holding over shall be at a rate equal to one hundred fifty percent (150%) of the Base Rent in effect on the Expiration Date.

**12. Default**

Each of the following is an event of default: (a) Tenant fails to pay any rent within ten (10) days after written notice that it is overdue; (b) Tenant fails to perform any other obligation within thirty (30) days after written notice, or such longer period as is reasonably required if Tenant diligently pursues a cure; (c) Tenant becomes insolvent or files for bankruptcy. Upon an event of default, Landlord may terminate this Lease, re-enter the Premises, and recover all damages permitted by law, including reasonable attorneys' fees.

**13. Assignment and Subletting**

Tenant shall not assign this Lease or sublet all or any part of the Premises without Landlord's prior written consent, which shall not be unreasonably withheld, conditioned or delayed.

**14. Subordination; Estoppel**

This Lease is subordinate to any mortgage now or hereafter encumbering the Building. Within ten (10) Business Days after request, Tenant shall deliver a written statement confirming the status of this Lease.

**15. Governing Law**

This Lease shall be governed by the laws of the State of New York, without regard to its conflict-of-laws principles. Each party consents to the exclusive jurisdiction of the state and federal courts located in New York County.

**16. Notices**

Notices to Landlord: Harborview Properties LLC, 1 Water Street, Suite 1200, New York, NY 10004, Attention: Property Management. Notices to Tenant: Brightline Studio Inc., Suite 410, 220 Hudson Street, New York, NY 10013, Attention: Chief Financial Officer.

IN WITNESS WHEREOF, the parties have executed this Lease as of the date first written above.

| | |
|---|---|
| **LANDLORD:** | **TENANT:** |
| Harborview Properties LLC | Brightline Studio Inc. |
| By: _____ | By: _____ |
| Name: Eleanor Whitfield | Name: Marcus Tan |
| Title: Managing Member | Title: Chief Executive Officer |
| Date: March 15, 2024 | Date: March 15, 2024 |